# MODULE 3, CHAPTER 2: PICKING UP THE PIECES (LOSS & DAMAGE)

## Section III: Loss or Damage

- **Quotation Requirements:** To issue a quote, the insurer requires the vehicle's year, make, model, and an estimate of its present value [cite: 11].
- **Covered Perils:** Indemnifies the scheduled vehicle against accidental collision, overturning, fire, external explosion, self-ignition, lightning, burglary/theft, and malicious acts [cite: 11].
- **Towing Fee:** The policy covers the cost of towing the vehicle to the nearest repair shop or residence, subject to a maximum limit (e.g., 1,500 pesos) [cite: 11].
- **Authorized Repair Limit (ARL):** Repair costs are limited to the manufacturer's price catalogue, including reasonable transport costs, import duty, and fitting costs [cite: 11].

## Shared Burdens: Deductibles & Depreciation

- **Deductible:** A set minimum amount the insured pays out of pocket for a claim [cite: 11]. This exists to avoid small nuisance claims and keep premiums affordable [cite: 11].
- **Depreciation:** The percentage share the insured pays on the cost of brand-new replacement parts, calculated based on the age of the vehicle [cite: 11].

## Exclusions from Section III

- **Not Covered:** Everyday wear and tear, mechanical or electrical breakdowns, damage strictly to tires (unless the car is damaged simultaneously), and malicious damage caused by the insured or their family members [cite: 11].

## Section IV: Excess Liability Insurance

- **The Safety Net:** Pays the sums necessary to discharge liability in excess of the limits provided under Sections I & II for both bodily injury (IV-A) and property damage (IV-B) [cite: 11].

> **Key Takeaway: The insurer will not pay for everything! You must share the financial burden of repairs through Deductibles (to stop tiny nuisance claims) and Depreciation (paying a percentage for brand-new parts going into an older car).**